

be a signal of a likely value. And as with value, an owner-operator is a predictor of future outperformance. “Owner-operators, over an extended period of time,” Doyle said, “tend to outpace the broad stock market by a wide margin.”

On this topic, there is a wealth of research and practical experience. On the research front, here are a few relevant studies:

- Joel Shulman and Erik Noyes (2012) looked at the historical stock-price performance of companies managed by the world’s billionaires. They found these companies outperformed the index by 700 basis points (or 7 percent annually).
- Ruediger Fahlenbrach (2009) looked at founder-led CEOs and found they invested more in research and development than other CEOs and focused on building shareholder value rather than on making value-destroying acquisitions.
- Henry McVey and Jason Draho (2005) looked at companies controlled by families and found they avoided quarterly-earnings guidance. Instead, they focused on long-term value creation and outperformed their peers.

There is much more, but you get the idea. People with their own wealth at risk make better decisions as a group than those who are hired guns. The end result is that shareholders do better with these owner-operated firms.

Horizon Kinetics has a neat graphic to illustrate the difference between a typical public company and an owner-operator. (See the chart below.)